Practice workbook · Calculate the acid test ratio

Calculating the acid test ratio as current assets minus inventory, divided by current liabilities.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-18

1. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

4 **Figure 3** is an extract from *Saha*'s statement of financial position.

	TRY (million)
Current assets	12
Inventory	4
Current liabilities	7

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

(b) Analyse the benefits for *Saha* of becoming a multinational business.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

4 The Indian Government has said that *HRMW* is one of the top 10 businesses in India. *HRMW* has been given more than 50 awards for its performance in exporting and for the quality of its products.

Figure 3 shows *HRMW*'s possible financial situation.

	Rupees (000)
Current assets	64 650
Inventory	42 450
Current liabilities	54 550

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *HRMW*.
You are advised to show your workings.

(2)

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2. Question 4 · part a · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Analyse why a bank would be interested in *HRMW*'s financial documents if it were to apply for a loan to develop new sports products.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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